

INTL-I103 Midterm Study Guide

Covers Days 1–11 · Midterm Wednesday, October 7, in class

Exam structure

- **Part A · Multiple choice (30 points).** Fifteen questions on core concepts, definitions, and facts from lecture and the cases.
- **Part B · Define and apply (30 points).** You will choose three of four. Each asks you to define a concept and then apply it to a short scenario you have not seen before.
- **Part C · Short essays (40 points).** Two required essays. Each asks you to make an argument using specific evidence from the readings and cases.

Bring a blue book, a pen, and your notes sheet (one 8.5 × 11 sheet, front and back, that you prepared yourself).

This guide tells you *what* to know. It does not tell you what to *say* about it; that is your job, and it is what the exam tests. For each term, you should be able to (1) define it in your own words, (2) give an example from lecture or a case, and (3) use it to explain something new.

Terms and concepts

What is global business? (Day 1)

- The scale and concentration of the global economy: who holds the most economic weight, and why that matters for leverage
- The relationship between foreign investment and trade

Why do firms become multinational? (Day 3)

- Multinational enterprise (MNE); foreign direct investment (FDI); foreign portfolio investment. What makes investment *direct*?
- Parent, affiliate, and subsidiary; home country and host country
- The ladder of going global: exporting; non-equity modes (licensing, franchising, subcontracting); joint ventures; greenfield investment; mergers and acquisitions. What does a firm gain and give up as it climbs?
- Motives for going abroad: resource-seeking, market-seeking, efficiency-seeking, export platforms, strategic asset-seeking. Which do firms cite most often?
- Liability of foreignness
- The OLI framework (ownership, location, internalization)
- Horizontal vs. vertical FDI

Why do governments want FDI, and what does it do? (Days 3–4)

- Why governments court FDI: the savings gap, and what FDI brings “bundled” with capital
- Spillover, selection, and reallocation. Why do all three raise measured productivity, and why does it matter which one is happening?

- Absorptive capacity
- Gilpin's three perspectives on the multinational: liberalism, mercantilism (realism), and marxism. What does each expect FDI to do to a host country?
- Ruggie's concepts: power (instrumental, structural, discursive), authority, and relative autonomy

Political risk (Days 6–7)

- Political risk: definition, and the difference between traditional political risks and the newer risks firms now face
- Why extractive industries are especially exposed
- The resource curse; “good governance” and why it makes investment less risky
- Expropriation (direct and indirect) and its history. When was it most common, and how common is it now?
- The hold-up problem and the obsolescing bargain
- The political bargaining model; sources of bargaining power for firms and for host governments
- Rice & Zegart's types of political risk

Corruption (Days 8–9)

- Corruption and bribery; grand vs. petty corruption; pervasive vs. arbitrary corruption
- Corruption as a political risk
- “Grease the wheels” vs. “sand in the gears,” and what Zhu & Shi found
- How corruption is measured
- The principal–agent problem and information asymmetry
- Corruption as a collective-action problem: best response, Nash equilibrium, Pareto optimality
- Three levers for solving it: host-country institutions, home-country institutions, social norms
- The Foreign Corrupt Practices Act (FCPA) and the OECD Anti-Bribery Convention

Global rules and investment treaties (Days 10–11)

- Why a century of attempts to write multilateral rules for multinationals failed. Who wanted what?
- The Calvo Doctrine
- The OECD Guidelines for Multinational Enterprises vs. the UN Code of Conduct (“should” vs. “shall”)
- Two ways to manage expropriation risk: political risk insurance and investment treaties
- Bilateral investment treaties (BITs) and what they promise: national treatment, fair and equitable treatment (FET), protection against expropriation
- Investor–state dispute settlement (ISDS): how it works, who uses it, and why it is controversial (including regulatory chill)

The cases

For each case, you should be able to tell the story (who did what, when, and why) and connect it to the concepts above. The questions below are prompts for your own thinking, not a list of exam questions.

Nike, the NBA, and China (Day 2). Who were the actors, and what did each want? Where did power lie? Why was there no option that satisfied everyone?

Ireland's Tiger Economy (Day 5). What tools did the Irish state use to attract FDI, and how did its strategy change over time? Who gained, and how connected were foreign firms to the rest of the Irish economy? Why wasn't Ireland more powerful relative to the firms it hosted?

ExxonMobil in Aceh (Day 7). What was ExxonMobil's relationship with the Indonesian government and the TNI? Which distinct political risks did the company face, and where did each one come from? Why did ExxonMobil still have leverage in 2001? Is it culpable for what happened near its gas fields?

Fighting Corruption at Siemens (Day 9). How did bribery work at Siemens, and why had it become so embedded? What changed after 2006, and why? What does the case suggest about whether firms can regulate themselves?

Philip Morris Asia v. Australia (Day 11). What did plain packaging require, and how did Philip Morris bring a claim? What did the tribunal decide, and what did it leave undecided? Whom does ISDS empower?

The conceptual/theoretical readings

For each reading, be able to state the author's core argument in a sentence or two and name the evidence you would use to apply it to a new case:

- Alfaro (2016), "Gains from Foreign Direct Investment"
- Gilpin (1976), "The Political Economy of the Multinational Corporation"
- Ruggie (2018), "Multinationals as Global Institution"
- Rice & Zegart (2018), "Managing 21st-Century Political Risk"
- Kubbe, Baez Camargo & Scharbatke-Church (2024), "Corruption and Social Norms"
- Jones & Rahmani, "In Search of Global Regulation"

How to study

Start with your own notes and the case analyses you wrote in class. Then reread the slides and ask, for each term above, where it showed up in a case. If you can't connect a concept to at least one case, that is where to spend your time. Your notes sheet will be most useful if you build it by doing exactly this, rather than copying definitions from the slides.